

Car Lease Policy

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Date	Version No.	Prepared By	Reviewed By	Approved By	Summary of Changes
3-Mar-11	1.0	Jacob P U Head – HR Service Delivery Karthik Krishnaswamy Deputy Manager – HR		Deependra Chumble Chief People Officer	Introduction of Policy
19-Oct-15	2.0	Jacob P U, Associate Vice President - HR	Amberin Memon, Chief People Officer	Amberin Memon, Chief People Officer	Inclusion of new clauses after changing the CLFC
15-Nov-22	3.0	Jacob P U, Vice President - HR	Vishwanath Joshi, Chief People Officer	Vishwanath Joshi, Chief People Officer	Revised eligibility
1-Jan-24	4.0	Jacob P U, Vice President - HR	Nita Nambiar, Chief People Officer	Nita Nambiar, Chief People Officer	Revised eligibility
1-Sep-25	4.1	Thresia Paul Sr. General Manager- HR	Jacob PU Sr. Vice President HR	Nita Nambiar, Chief People Officer	Change in the process for opting Car Lease

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1. **OBJECTIVE:**

The objective of this policy is to provide guidelines for the vehicle given to employees under an “Operating Lease” scheme, hereinafter referred as “Scheme”.

2. **SCOPE & APPLICABILITY:**

- 2.1 This policy is applicable to all employees at offshore (India Location) from grade G5 and above.
- 2.2 For all those interested employees who opt for the car lease scheme, Hexaware would enter into a lease agreement with the car lease financing company (“CLFC” or “lessor”) for providing cars on lease model under the Scheme for tenure of 36months or 48 months.
- 2.3 The scheme is designed to provide employees with maximum choice of car models; however this scheme will not cover any second hand cars.

3. **ELIGIBILITY:**

Employees in grade G5 and above are entitled to participate in this scheme. Such employees, who opt to avail the scheme, will be given a new component called “Car Lease Charges” in their restructured salary letter. The limits on the “Car Lease Charges” are given in the table below.

Sr. No	Grade	Amount Per Annum towards Car Lease (INR Lacs p.a.)	Per Month INR	Addnl. Car Allowance (Petrol & Driver Cost) (INR Lacs p.a.)*
1	G5	3.25	27,083	2.0
2	G6	4.00	33,333	2.0
3	G7	4.80	40,000	2.5
4	G8	5.50	45,833	2.5
5	G9	6.20	51,667	2.5
6	G10	7.40	61,667	2.5
7	G11	8.40	70,000	3.0
8	G12	10.10	84,167	3.0
9	G13	11.80	98,333	3.0
10	G14	16.00	1,33,333	4.0
11	G15	18.60	1,55,000	4.0
12	G16/C1/C2	20.00	1,66,667	4.0

4. **SCHEME HIGHLIGHTS:**

- 4.1 CLFC will provide access to their proprietary online portal wherein employees will be able to choose the car, compare features, receive quotations, select dealer, and give order for booking the car subject to approval from HR. The employee can also get a written quote from any other car dealer of his choice and provide the same to the CLFC for booking of car. CLFC may at its sole discretion negotiate with the car dealers / manufacturers to get the best competitive price.
- 4.2 The Rate of Interest may vary depending upon the market conditions and tenure.

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- 4.3 The Residual Value (RV) will vary depending on Model of Car and tenure.
- 4.4 The employee has flexibility to opt for Lease Tenure of 36 months or 48 months.
- 4.5 The car leased by the CLFC will have 2 options: i) shall be registered in the name of Hexaware and will have to sign a back to back agreement ii) the vehicle will be registered in the name of employee and will enter into a tripartite agreement. The ownership of the car however will remain with the CLFC as per agreed terms and conditions.
- 4.6 Optional Fleet Management Service is available at an additional cost (for which employee will bear the cost and directly deal with CLFC). Additional cost covers i) Breakdown services, ii) Replacement Vehicle services & iii) Maintenance & Repairs management.
- 4.7 Employee needs to purchase Comprehensive Insurance Coverage, from CLFC, including the third party liability to safe guard against unforeseen circumstance of huge liability arriving on account of accident of vehicle and injury / death of third party. In case of any claims employee has to do all the formalities with the insurance company, CLFC or Hexaware will not play any role in this regard.
- 4.8 Monthly Lease Rental Amount will cover the financing of Car Value, Road & Registration Cost, First Year Insurance, Monthly Management Fees and Fleet Management Service Cost (if opted for).

5 SCHEME – TERMS & CONDITIONS:

- 5.1 The scheme is applicable for the purchase of a car based on the car rental limits as mentioned in table above. (Refer point no. 3 on eligibility).
- 5.2 CLFC will be the lessor, Hexaware will be the lessee. All the legal responsibilities whether direct or indirect related to or arising out of the usage of the car will be borne by the employee, under definition of “owner”, under Motor Vehicles Act 1988 (“the act”).
- 5.3 Employee undertakes full responsibility, financial or otherwise, arising out of the lease transaction for the car.
- 5.4 In case the employee fails to fulfil any of his obligations as mentioned above or as per the back to back agreement or any other documents executed with respect to Car Lease and as a result of which if Hexaware suffers any loss or damage, the employee shall in such event be liable to compensate Hexaware for all such loss/damages, including legal costs and expenses caused by employees default(s). Hexaware shall have right to adjust all such amounts against the dues of the employee.
- 5.5 Employee must provide a cheque equivalent to the car value in favour of the CLFC and handover the same to Hexaware HR before the commencement of the lease date. The validity of the cheque should be for the entire lease tenure. The cheque will be utilized by Hexaware, incase of employee default, including but not limited to absconding, non-payment of dues or breach of policy terms. The same will be returned only upon full settlement of all lease obligations.
- 5.6 **Resignation / termination** – In case of resignation the lease is “FORECLOSED” and employee returns the car back to the leasing company. The financial implications are as below:

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value and outstanding book value + foreclosure charge @ 2% of outstanding book value.

5.6.2 If employee resigns and joins another company where the leasing partner has an arrangement the lease can be continued, if agreed by both the parties, with such new employer. Foreclosure charge if any will be borne by employee.

5.7 Absconding Employees

5.7.1 If an employee absconds the lease shall be terminated immediately, and the employer forfeits all rights to the vehicle. Hexaware shall invoke the post-dated cheque to recover outstanding dues, including unpaid lease rentals, residual value, foreclosure charges, and penalties. The vehicle must be returned to Hexaware within 7 days of termination notice. Failure to comply will result in legal action for recovery and additional penalties, including taking possession of the vehicle on immediate basis. Hexaware reserves the right to report the absconding employee and pursue civil/criminal remedies.

5.7.2 Eligibility Criteria:

- Two Guarantors: Each guarantor must provide LinkedIn verification to ensure credibility and authenticity.
- Background Verification (BGV): Background verification must be conducted with utmost strictness. The verification process should also include a residence check to confirm the applicant's address and living conditions.

5.8 **Discount on vehicle purchase** – The best negotiated discounts will be available in the quote from the leasing partner.

5.9 Liability under Motor Vehicles Act – In all cases, any liability arising out of violation under Motor Vehicles Act, 1988 ("the act") e.g. driving under influence of alcohol, driving without a valid license etc. the employee will be held liable. The company and the CLFC will not be liable even though the vehicle is registered in the name of the company.

6 PROCESS:

6.1 The eligible employee can apply through the CLFC portal and post the authorisation by HR, CLFC will process the application.

6.2 On delivery of the car, the concerned employee shall be required to provide the necessary documents.

6.2.1 Sign back to back Agreement with Hexaware.

6.3 Company reserves the right to modify / withdraw the scheme any time, as deemed fit.

7 OBLIGATIONS OF THE LESSEE:

All obligation of lessee as detailed below and in the master lease agreement with the CLFC (MLA) apply to the employee and employee bears all the obligation of the lessee without any recourse to lessee. Any direct or indirect claim / loss / damage on the lessee will be borne by employee.

7.1 In the event that the lessee causes cancellation of, or instructs lessor to cancel a purchase order with the supplier of the vehicle, or if the lessee shall refuse without any reason to accept the delivery of Car Lease Policy

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the ordered vehicle, the lessor shall be entitled to terminate the vehicle lease contract of the aforesaid vehicle and the lessee shall be liable to pay the lessor within ten (10) days of receipt of written demand all costs, charges, expenses, damages, if any incurred by the lessor arising out of such action by the lessee, provided that such cancellation or inability of the lessee to take delivery is solely attributable to the lessee and is not governed by events of *force majeure*.

- 7.2 Being the party in possession of the vehicle under Master Lease Agreement (MLA) with the CLFC, the lessee shall be fully liable and responsible for all the obligations, liabilities and duties as provided under the Motor Vehicles Act or any other law or instrument pertaining to the use of the vehicle during the lease period until the vehicle is returned to the lessor as per clause 7 of this MLA and the lessee shall reimburse the lessor for any and all liabilities, dues, obligations, expenses, charges and costs incurred by the lessor in relation to the same.
- 7.3 To ensure that all scheduled maintenance is carried out by the lessee in accordance with the manufacturer's specifications ensuring that all warranty conditions are met. To ensure that all Non-Scheduled maintenance is carried out by the lessee as required ensuring that the product is maintained in good working order and condition. All maintenance should be carried out, preferably through approved service providers. All risks and damages in view of the repairs done by non-approved service providers shall be on account of the lessee.
- 7.4 The lessee's liability will extend to the consequences of events arising during the lease period, while in its possession but causing prejudice that is not revealed until after the vehicle is returned to the lessor. All liabilities, whether financial or legal, arising during the term of the vehicle lease contract, while in the lessee's possession shall survive the termination of the vehicle lease contract or this MLA for a period of three (3) months, excluding any court case pending at the time of expiry of the agreement or which are received after expiry of the agreement due to any act or omission of the lessee.
- 7.5 The Lessee does hereby indemnify and agree to keep indemnified and hold safe and harmless the lessor against all such liabilities and also against loss of vehicle by seizure by any person other than the lessor for any reason (except when such seizure is occasioned or is directly attributable to any act of commission or omission and /or negligence on part of the lessor) whatsoever or resulting from any legal process instituted by any person other than the lessor. This indemnity clause shall survive the termination of MLA and the relevant vehicle lease contract in so far as they pertaining to the events/occurrences that transpired during the period of the lease. Any fees, taxes, or other charges legally payable by the lessee in relation to the possession and use of the vehicle and which is paid by the lessor in the event of the lessee's failure to pay shall at the lessor's option become immediately due from the lessee to the lessor.
- 7.6 In the event of vehicle seizure due to any act of the lessee, the lessee undertakes to advise the lessor without delay, to make all declarations and to take all steps to protect the lessor's property rights. If release proves impossible within 30 business (thirty) days of the seizure the vehicle lease contract will be terminated automatically, with the responsibility resting exclusively with the lessee, which must then pay the lessor such termination compensation.
- 7.7 CLFC shall send three reminders at least 30, 20 and 10 days respectively prior to the due date of the renewal. Such reminders shall request the employee to renew the insurance of the Vehicle as per the Insurance Company of its/his choice and in the event that the employee fails to do so not later than 7 days prior to the due date of renewal, CLFC shall proceed to insure the Vehicle as per it applicable policies. Once the Vehicle is insured, the CLFC shall ensure that the insurance cover note is sent to the employee through email before the expiry of the previous insurance. Employee shall reimburse the insurance premium amount and other costs and expenses to CLFC within seven days of receiving the

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invoice/ demand note from CLFC.

- 7.8 The lessee must use the vehicle in compliance with Traffic laws and regulations. The lessee may not carry out any type of conversion that modifies the vehicle's characteristics as defined by the Government Vehicle Testing Service.
- 7.9 The lessee will ensure the safe keeping of the vehicle documentation that has to be produced on demand by the police or representatives of the tax authorities. If these documents are lost or stolen or destroyed, the lessee will bear the reasonable cost of obtaining the duplicates.
- 7.10 The lessee will bear all current and future expenses resulting from imposition of any duties, taxes, levies, fines and penalties relating to the hire, possession and use of the vehicle under any statutory provisions in force in India and as applicable from time to time. The lessor must be reimbursed for such cost immediately on request if it has advanced to them and in other cases the lessee shall pay to the lessor such amount within a period of 7 days from date of demand by the lessor.
- 7.11 Upon the normal or early termination of the vehicle lease contract, the lessee will, unless otherwise agreed, return the vehicle at its expense and on its responsibility to the location where the vehicle was originally delivered to the lessee, at the inception of the contract.
- 7.12 The lessee must return the original and duplicate keys of the vehicle and the code cards and master keys that may be attached to possession of the vehicle within the same time scale.
- 7.13 The employee agrees to sign on blank transfer documents on return of the vehicle at the end of tenure and will not be provided with the name of the ultimate buyer. In turn, CLFC confirms that the employee will not be responsible for any claims or damages incurred after the vehicle is returned to CLFC.
- 7.14 In the event of any damage being sustained to the vehicle, the lessor must be notified within 24 hours of its occurrence. Lessee should ensure vehicle is repaired for damages and wherever repair to damaged part is not possible, replace it with new parts.
- 7.15 The lessee agrees not to do or permit or suffer any act or thing, which may make void or voidable any policy of insurance covering the vehicle or render the policy monies irrecoverable or any act or thing which may invalidate the manufacturers' warranty applicable to the vehicle. If no claim made on account of an act of omission or commission on the part of the lessee, the lessee alone shall be liable for such claim to the lessor.
- 7.16 The lessee must ensure that the dashboard kilometrage counter remains in working order at all times and notify the lessor of any malfunctions without delay.
- 7.17 The lessee shall maintain the vehicle during the period of MLA and till the vehicle is delivered back to the lessor in good working order and condition, bear and pay all imposts, charges and other duties, taxes and penalties as may be levied from time to time by the Central and / or State Government or Local Municipal or any Government Agencies, unless the same has occasioned or is directly attributable to any act of commission or omission and /or negligence on part of the lessor, in which event the lessor shall be liable to pay the same.
- 7.18 If the lessee fails to comply with any of its obligations under MLA, particularly by defaulting in payment of the undisputed lease charges in principal or incidental and such default continues for 5 (five) days of the receipt of written notice thereof to lessee, the lessor shall be entitled to terminate this MLA or the relevant vehicle lease contract as the lessor may decide and the lessee shall promptly pay to the lessor the amount of future receivables then remaining unpaid for the lease period computed in a manner set out in clause 14.1 of this MLA after adjusting the sales proceeds realized by the lessor.

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7.19 Upon the happening of any event that causes any damage or loss to the Vehicle and/or its accessories whilst thereon, including accident, theft, hit caused by fire explosion, self-ignition or lightening, burglary, housebreaking, riot, strike, earthquake, flood, typhoon, hurricane, storm, tempest, inundation, cyclone, hailstorm, frost, malicious act and/or terrorist activity, the employee shall as soon as possible notify CLFC by telephone of such damage or loss relating to the Vehicle and confirm this in writing in accordance with the terms hereof, within 2 working days of the occurrence of such event causing loss and/or damage to the Vehicle. Without prejudice to the generality of the provisions given above, in the event of accident or theft of the Vehicle or any part and/or accessory thereof, the employee:

7.19.1 Shall immediately report the same to the nearest police station and obtain a copy of the first information report (FIR) and ensure that the registration, chassis and engine number are specified in the FIR.

7.19.2 Shall report the same to CLFC and within 2 working days of the knowledge of the theft, furnish to CLFC, copy of the FIR

7.19.3 Shall bear all costs and/or damages and/or consequences arising from late or incomplete report or failure to submit the aforesaid documents.

7.19.4 Shall not be liable to pay the Lease Rental From the 4th month following the event of total loss or theft

CAR LEASE POLICY**AGREEMENT**

(On Non Judicial Stamp Paper of appropriate value)

This Agreement is made at on this Day of..... (Two thousand.....) between a company registered under the Companies Act, 1956 and having its registered office / head office , (hereinafter called the “Company” which expression shall include its successors and assigns of the one part and Mr./Ms.son of Mr.resident of (Hereinafter called the “Employee”) of the other part.

WHEREAS the Employee is working as with the Company since

AND WHEREAS for efficient discharge of duties, the Employee has requested the Company to provide him / her with official transport.

AND WHEREAS the Company has agreed to provide to the Employee a.....car on the following terms and conditions, to which the Employee agrees.

NOW THEREFORE THIS AGREEMENT WITNESSES AND it is hereby agreed by and between the parties as follows:-

- i. That at the request of the Employee the Company will purchase a new car and the same will be provided to the Employee.
- ii. That the employee will not use the car for commercial purposes.
- iii. That in case the Employee ceases to be in the service of the Company whether by retirement, resignation or otherwise, employee should settle Car Lease Dues with the CLFC.
- iv. That in case the Employee does not settle Car Lease dues with the CLFC, the Company shall be free to sell the car in the open market to any one and loss/damage, if any suffered by the Company on this account will be recovered from the Employee. The Employee hereby irrevocably authorizes the company to adjust the amount of loss/damage suffered by the Company from the deposit and/or from the dues, if any, payable by the Company to the Employee. The shortfall, if any, will also be paid by the Employee.
- v. That the Employee shall not create any charge, encumbrance or lien on the car nor will permit its use by anyone else.
- vii. That the consultant shall ensure the car is comprehensively insured. In case the consultant fails to discharge his obligation, he shall be responsible for all the loss / damage / expenses suffered by the Company on this account.
- viii. That the Employee undertake to identify and keep the Company indemnified against any loss / damage expenses suffered by the Company for any misuse of the car for any illegal activity or

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non-compliance with any rules, regulations, orders, for any tortuous liabilities, accidental losses / damage including the cost of defending any litigation in this regard.

- ix. That in case of any dispute or difference arising under this Agreement, the decision of the Chairman / Managing Director of the Company shall be final and binding on the Employee.

The Courts at Mumbai, Chennai, Pune, Bangalore and Noida shall have exclusive jurisdiction in all matters arising from this Agreement.

IN WITNESS WHEREOF the parties have signed these presents, on the day, month and year first above mentioned.

WITNESSES:

1. Sign.....

Name & Address.....

.....
.....

For _____

Authorized Signatory

WITNESSES:

2. Sign.....

Name & Address.....

.....
.....

Signature of the Employee

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Annexure I**Authorization Form for Company Car Lease**

I have been allotted a car by the company, details of which is as follow on page 12.

I understand that the company has purchased the car under operating lease, and I have been informed of and agree to the terms and conditions of such lease.

I understand that the company is sole owner of the car while the company has given me the right of access and use for non-commercial usage only.

I understand my obligation towards maintenance, upkeep and security of the car. I understand that the company would be reimbursing me the expenses incurred by me for fuel, driver, upkeep and maintenance of the car upon furnishing proof of such expenses, and such proof are found to be true and fair by the company, up to limits prescribed in company policies and/or my terms and conditions of employment and/or the car lease policy.

I authorize you to deduct/continue to deduct the Equal Monthly Instalment (EMI) and any other applicable interest charges, VAT and other taxes directly from my compensation and benefits.

I understand that a perquisite value shall be considered for computation and deduction of Income Tax directly from my compensation, as and when applicable under Income Tax act and rules during the tenor as well as at the point of transfer.

I confirm that

- My Flexi Benefit Plan (FBP) declaration for the year has been updated for the rest of the year in accordance with this request.
- The sum of all deductions against my FBP (i.e. company car + fuel and maintenance + LTA +Superannuation etc.) does not exceed the total FBP I am eligible for.

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Common Basic Data		
EMP Id		
Name		
Location		
Dept.		
Grade		
Invoice value		
Leasing Company		
Lease Amount		
Down payment if any		
Financing charges (upfront)	%	Amount
Lease account number		
Lease start date/First month of deduction		
Lease end date/last month of deduction		
Tenor (In months)		
PTPM Rate used for EMI		
EMI		
Pre-closure charges (%)		
Residual Value	%	Amount
Model and make of car (e.g. Ford Icon 1.6 zxi)		
Color of the car		
Used or new		
Chassis Number		
Registration number		
Road Tax type (Life time or yearly)		
Road Tax amount paid		
Road Tax expiry Date (if yearly tax)		
Insuring company		
Insurance amount paid		
Insurance Policy Number		
Insurance Date		
Insurance expires on		
Signature of Requesting Employee		
Date:		